

Understanding the Challenges

The audit identified two central hypotheses that were tested over six weeks:

1. Radix's marketing efforts alone are insufficient.
2. Technical delays have negatively impacted brand trust and reputation.

The overall conclusion was that Radix's marketing efforts have been impressive given available resources, but operational and strategic changes are required to remain competitive and restore brand trust.

Key Insights and Root Causes

Positive Observations:

Penrose Partners recognized that despite limited resources, Radix's existing marketing efforts are commendable. Initiatives such as regular community engagements on platforms like Discord, Telegram, and X (Twitter) were noted positively, demonstrating strong internal community management.

Paid marketing spend has correlated well with increases in website traffic and new wallet downloads, especially around major campaigns. This shows efforts have been effective in driving awareness* but have not correlated to trading volume of XRD - apart from during the "Token Trek" campaign, which showed marketing efforts linked to an exceptionally successful increase in trading volume, despite the modest budget. This suggests incentivized campaigns focused on the Radix ecosystem could be promising.

**It is noted that due to reduced budgets, while there is a correlation here, there has been no consistent growth in website traffic over the last two years.*

Areas for Improvement:

Several issues were highlighted that go beyond merely increasing marketing spend (that itself was identified as a key blocker):

1. **Brand Awareness and Market Positioning:**
 - Radix has the lowest brand awareness among competitors such as Solana, Aptos, and NEAR Protocol.
 - Limited presence on top-tier exchanges is severely restricting market access and visibility.
2. **Developer Ecosystem and Engagement:**
 - Radix significantly lags behind competitors in monthly active developers and developer activity, partly due to operational challenges and delays in delivering key technology milestones.

- (as a result) Developers have expressed private concerns about contingency plans, questioning the stability of Radix as a foundational platform.
- 3. **Token Liquidity and Accessibility:**
 - Current payment and access mechanisms (e.g., Alchemy Pay, Instabridge) introduce friction, limiting new user adoption and undermining marketing efforts.
 - The audit emphasizes the urgent need to enhance fiat on-ramp and cross-chain bridging solutions.
- 4. **Operational Efficiency and Consistency:**
 - The marketing team, undersized relative to Radix's ambitions, operates across numerous channels without adequate automation or tooling, hindering efficiency. Radix currently has 4 staff across marketing, ecosystem, and partnerships, whereas competitors average 16 in these roles.
 - RDX leadership has frequently altered goals and objectives, making it challenging for the marketing team to craft cohesive supporting strategies. Additionally, marketing tactics and campaigns have often been executed in a stop-start manner rather than as part of a sustained, long-term strategy. This fragmented approach has resulted in inconsistent messaging and diluted brand strength. Notably, despite peak marketing efforts in 2022, trading volume reached its highest at \$101M in 2023 but declined significantly to \$58.9M by 2025. Such inconsistency in campaigns and messaging risks portraying the brand as unreliable, and continuously restarting campaigns, whether due to evolving roadmaps or delays, inefficiently consumes resources, detracting from the potential to scale successful initiatives.
- 5. **Strategic Brand Direction:**
 - Mixed messages and the lack of a clearly articulated unique selling proposition (USP) weaken market perception. From user and industry interviews, multiple USPs were highlighted, showing a fragmentation of understanding and appeal to the target audience.
 - Content may be over-promising and under-delivering, damaging brand trust. This is backed by a brand perception score of 3/10 in user interviews.
 - There is notable support for exploring a potential rebrand to better resonate with a broader crypto-native audience.

Strategic Recommendations

Penrose Partners proposed a few main strategic recommendations, emphasizing both operational and marketing enhancements:

- **Operational Improvements:**
 - Expanding the marketing team to include additional staff and resources, and bringing in a dedicated partnerships/business-development leader.
 - Automating internal workflows, centralizing performance tracking, and clarifying cross-departmental processes to enhance productivity and effectiveness.

- Redesigning liquidity strategies to streamline ecosystem access and attract institutional capital through improved infrastructure and partnerships. Specifically, permissionless bridging and T1 exchanges.
- **Marketing and Branding Actions:**
 - Considering a comprehensive brand reset or rebrand to reestablish market positioning aligned with Radix's technological strengths.
 - Increasing investment in top-of-funnel marketing activities, particularly through consistent (dev) event participation, hackathons, and strategic brand partnerships, to expand reach and awareness significantly.
 - Forging long-term, credible partnerships to reinforce Radix's market position and attract both retail and institutional interest.
 - Exploring long-term strategic alignment with other L1s moving forward. Including potential mergers with large projects that could utilize Radix technology as a "canary chain"